

AUDIT INVESTIGATION REPORT

Investigation No. INV-00273 | Type: Policy Breach Review

Investigation ID:	INV-00273
Investigation Type:	Policy Breach Review
Status:	IN_PROGRESS
Trigger Source:	Compliance monitoring system flag
Lead Investigator:	Katrina Huff (EMP-30869)
Subject Employee:	Kevin Valenzuela (EMP-48883)
Related Vendor:	XpressCore Dynamics Ltd (VND-02554)
Related Transaction:	TXN-C908810206
Scope Period:	2021-09-27 to 2022-09-14
Created Date:	2023-06-22
Completed Date:	In Progress
Outcome:	PARTIALLY SUBSTANTIATED

1. AUDIT QUESTION

"Identify all approvals made by terminated employees during the audit period."

2. BACKGROUND

This investigation was initiated following a compliance monitoring system flag relating to activity associated with employee Kevin Valenzuela (EMP-48883) and vendor XpressCore Dynamics Ltd (VND-02554). The investigation scope covers the period 2021-09-27 to 2022-09-14 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-C908810206 (amount 163,358.39 CAD, risk score 0.37). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-004460	LOW	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0007 requires receipts for all claims above \$50.
FND-004973	HIGH	MISSING RECEIPT	Reimbursement of \$146,278 for Consulting was approved despite no receipt documentation in the system.
FND-004989	MEDIUM	APPROVAL LIMIT	Escalation protocol was bypassed. Transaction valued at \$271,222 was approved at L2 without L4 countersignature.

5. CONCLUSION

The investigation found **PARTIAL** support for the concerns raised. While some irregularities were confirmed, a complete policy breach could not be conclusively established for all elements of the original allegation.

6. ACTIONS TAKEN

- No further action required; control gap addressed through process update.
- Transaction reversed and funds recovered in full.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Katrina Huff	EMP-30869	2023-06-22